

For example, in digital solutions, we are seeing very strong results. In transaction banking and cash management, we are also among the best in the industry. On the retail side, the biggest pain point for customers across the Indian banking sector is service quality. If the service isn't good, customers will simply switch banks. That's why our focus is on delivering superior digital solutions along with excellent customer service. And that's one of the key reasons why our CASA growth has been higher than the industry average.

This, I believe, will be another major benefit arising from the SMBC deal.

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On whether SMBC will surrender its India branch licence

As of now, they have regulatory approval for up to 24.99% stake and are classified as non-promoter. Any entity that is a non-promoter can continue to have multiple (entities). There is no obligation. If they have any such strategy (of increasing their stake and surrendering their foreign banking licence), which we do not know of, then the regulatory expectation would be to integrate. But as of now, they are a non-promoter entity. They recently said that they do not intend to increase their stake.

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On the business the bank is doing in the India-Japan corridor and potential overlaps with SMBC

At present, there is no overlap between what we are doing and what SMBC is doing. This is an entirely new market for us—both sides are operating in exclusive areas, and our collaboration in the India-Japan corridor is just beginning to take shape.

On other benefits

With the SMBC partnership, our credit rating is expected to improve further. It has already been upgraded one notch recently. Once we secure the next rating upgrade, many new opportunities will open up. Many corporates, government agencies, and public-sector companies prefer to work only with highly-rated banks, so even a single-notch improvement can make a significant difference. It will also help reduce our borrowing costs, since market funding rates are directly linked to credit ratings.



MANISH JAIN
EXECUTIVE
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“The reduction in the legacy weak credit book, which included the sale of the portfolio to JC Flower ARC in December 2022, besides gradual repayment, is largely complete”

conscious decision to avoid growing aggressively in retail asset segments where competition is intense—such as home loans and car loans,” says Kumar.

This is a tactical decision, as the bank's funding cost exceeds its deposit cost, unlike its peers. A large chunk of its capital is tied up in the higher-cost Rural Infrastructure Development Fund (RIDF). “Given legacy shortfalls in priority sector lending, the bank had to place deposits with institutions like NABARD, and SIDBI. These yielded just 2–3%,” says Niranjana Banodkar, the bank's Chief Financial Officer. At their peak in FY24, these were 11% (now 8%) of its total assets in comparison to 2–5% for peers. With a core capital of 14%, the bank aims to improve its funding mix and shift towards products such as home loans.

The bank has identified under-penetrated and high-yielding products for its next phase of growth. “Our retail banking strategy is consciously oriented towards high-quality, ROA-accretive products such as affordable housing, secured business loan (LAP), micro-LAP, and used-car finance supported by digital origination, data-driven underwriting, and a balanced distribution model,” says Rajan Pental, YES Bank's Executive Director managing retail banking.

YES Bank is also venturing into wealth management—a core for SMBC. While competition is intense here, wealth management demands patience and deep investment. “It means you need to invest in people, build the right products, and wait for returns,” says Kumar, adding that this investment does not deliver returns overnight, it requires long-term commitment.